



ZIMBABWE ELECTRICITY TRANSMISSION & DISTRIBUTION COMPANY				
DOCUMENT TYPE: Policy	PREPARED BY: Commercial Service Manager Sign: <i>[Signature]</i>	APPROVED BY: Commercial Director Sign: <i>[Signature]</i>	EFFECTIVE Date: 01/10/2010	REVISION 0

CREDIT CONTROL POLICY

1. Purpose

This policy outlines the actions, which ZETDC will take to secure the prompt payment for electricity supplied to customers and any other charges levied for services rendered. The objective of the policy is to minimise credit risk. Detailed credit control action plans are outlined in the ZETDC Customer Service Codes and Credit Control Manual.

2. Key Aspects

2.1 Billing

All customers are billed monthly or any other interval as authorized by ZETDC. Before providing a service for which the customer is billed, credit checks to verify the customer's good standing have to be carried out.

2.2 Payments

Payment for electricity consumed or service rendered must be made in full immediately when it becomes due and payable.

2.3 Debt Recovery Management

The General Managers are tasked with the responsibility in their respective Regions, of monitoring debt management and recovery of all monies owing to ZETDC except debts which are:-

- ☐ Written off
- ☐ Irrecoverable at law
- ☐ Uneconomical to pursue

The act of approving the non-recovery of a debt does not expunge the debt in law. If the circumstances that led to the debt being irrecoverable materially change, the recovery of the debt will be reinstated.

2.4 Repayment of Debt by Installment

The recovery of debt by installment shall be approved by the General Manager (Region). Over and above current charges, the full debt owing shall be paid over a period not exceeding three months. Defaulting on repayment conditions shall result in immediate disconnection of electricity supply and the recovery of the total balance of debt owing.

2.5 Bad Debts

For those debts, which prove irrecoverable and require write-off, written approval shall be required by the General Manager or Commercial Director depending on the amounts involved.

2.6 Use of Debt Collection Agencies

Consideration of economic viability must be taken before the use of commercial debt collection agencies to recover outstanding debts. In any event, debt collection agency fees shall be recovered from the defaulting customer.

2.7 Legal Proceedings

Legal action for the recovery of debts will be coordinated through the Commercial Director's office ZETDC, Head Office.

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CREDIT CONTROL MANUAL

1. INTRODUCTION

In pursuance of ZETDC's vision and mission there is need for a credit control manual to ensure consistency in credit control policy implementation and bad debt handling within ZETDC.

The objective is that ZETDC's cashflow improves significantly and only good debts are reflected in the ZETDC Accounts.

Reporting as well as monitoring of Strategic Business Units performance will be enhanced as Regional Management become more accountable and responsible for debt collection.

Effective debt management is best done at Regional level. Head Office assistance shall be sought where necessary, especially where negotiations with major clients are concerned.

2. OBJECTIVES OF THE CREDIT CONTROL manual

- To ensure accountability and responsibility for Debt Collection by Regions
- To reduce the incidences of bad debts.
- To attain business plan performance targets particularly regarding working capital adequacy and finance costs.
- To improve ZETDC's liquidity.
- Ensure accuracy of Accounts Receivable (electricity debtors) at all times.
- Improve the ZETDC's public image by prudently managing accounts receivable.

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3. **PERFORMANCE INDICATORS FOR DEBT MANAGEMENT**

3.1 Days Receivable: Target is 40 days

3.2 Collection Index: Target is 100%

3.3 Ageing of Debts Targets

AGE	PERCENTAGE OF TOTAL DEBT
Current	65%
30 days	27%
60 days	3%
90 days	5%

3.4 Ratio of Bad Debts Written Off
Below 1% of Debtors

3.5 Accounts Receivable
33% of total current assets.

4. **CUSTOMER DATABASE**

4.1 Accurate customer details shall be captured on the forms E22. A customer database shall be created and maintained for use in vetting and classifying customers.

4.2 The customer database shall hold the following information: -

- (i) In the case of natural persons – the full names, the customer's National ID number, his/her residential and/or business address and telephone number (if any) and the names and address of his/her next of kin and their National Identity numbers; Surety details to include name, physical address and National Identity number.
- (ii) In the case of legal persons e.g. companies, co-operatives societies, welfare organisations, private corporations or other corporate or statutory bodies – the full names of such persons (e.g. Gold Coin (Private) Limited) as appearing in the Companies Registry; the date and number of the Certificate of Incorporation or Registration, the physical address of their head office; the full name, National ID number and residential address of at least two principal officers (e.g. Director, Secretary) of such persona.

- (iii) In the case of legal persons which need not be registered or incorporated (e.g. such voluntary associations as social clubs etc.) or those which, though required to be registered are not registered – the full names and address of the principal place of business; the full names, National ID number and address of at least two principal officers or officials (e.g. Chairman, Secretary, treasurer etc.) responsible for payment of electricity bills.
- (iv) The physical address and Local Authority property number of the premises being supplied with electricity:
- (v) The details of the customer's guarantor or surety i.e. ID number, workplace details, residential details and signed forms of acknowledgement:
- (vi) Customer history and rating from at least two hire purchase previous or current account with other organisations:
- (vii) Any other relevant information

4.3 The database should be easily accessible from all Regions. Enquiries should be possible by name, national registration, property address etc.

The information requested on the application form, E22, relating to personal details should include details of applicant's past history e.g.

- (i) Whether applicant was an electricity customer before or not;
- (ii) Details of previous electricity account whether fully paid, in arrears etc.

4.4 The database will help in identifying customers with dual accounts (by use of names and/or national registration numbers) thus facilitating combining such accounts where necessary for easier collection.

5 CREDIT CONTROL

5.1 All customers shall be billed on a monthly basis and accounts should be settled within 14 days of bill production. Electricity bills shall state the specific energy charges, payment details, amounts for settlement and due date.

5.2 The Sales Manager shall produce a list of customers with outstanding accounts every billing cycle. From this list the Sales Manager shall prepare a disconnection list, classifying the customers into persistent defaulters, first time defaulters, etc.

5.3 The Sales Manager shall authorize disconnection of persistent defaulters. The Sales Manager in consultation with the Commercial Manager and/or General Manager shall authorize disconnection of customers classified as first time

defaulters, otherwise good and MD customers after being satisfied that persuasion to pay has been exhausted.

- 5.4 If an account remains unpaid after the due date, immediate disconnection shall be effected without further notice. However, a final warning shall be given to customers with good previous payment history.
- 5.5 All customers being disconnected shall be issued with letters of final demand (to the amount due) with a warning that the unsettled bill will be handed over to lawyers for collection after 14 days from date of letter without further notice.
- 5.6 Debts remaining unpaid after 60 days from due date shall be handed over to collectors through Regional Office for recovery action to be taken. However, at his /her discretion the General Manager may not pursue any particular debt if the cost thereof exceeds the amount of debt or if there are no or remote chances of success, in which event such debt shall be written off, in terms of Clause 8 hereof.
- 5.7 Payments from customers with a history of dishonored cheques shall only be accepted in the form of cash, bank certified cheques or postal orders.
- 5.8 While ZETDC reserves the right to charge interest on all overdue accounts, disconnected accounts shall cease to attract interest after 90 days. ZETDC reserves the right to recover equipment at points that remain disconnected after 90 days.
- 5.9 For the avoidance of doubt as to the desired debt management status Sales Managers shall at all times cause the debtors aging comply with the following standards:-
- 5.10 At the General Manager's discretion, payment plans may be entered into with Customers in cases in which there is evidence that reconnecting such customers will enable them to settle outstanding debts. Form CC1 shall be used for this purpose.

<u>Current</u>	<u>30 Days</u>	<u>60 Days</u>	<u>90 Days</u>
65%	27%	3%	5%

5.11 Change of Tenancy

- 5.11.1 A turn-off form shall be completed by a customer requesting a disconnection or whose contract of supply is being terminated. Details of his/her forwarding address shall be provided for purposes of payment of any outstanding bill.
- 5.11.2 A turn-on form shall be completed by a customer requiring service and the appropriate connection fees and deposit shall be collected from the customer.

5.11.3 A service point for which there is an outstanding electricity account:

- Shall not be connected until the prospective customer produces proof of his/her right to occupy or use such premises, independent of the defaulting customer, and pays necessary deposit, connection fees etc. The proof referred to herein shall be such as an original or certified copy of a Lease Agreement (if the new customer is leasing the premises) or Title Deeds or certified copy thereof or other proof of ownership (if the new customer is the owner of the premises). Such person shall not be required to pay for the defaulting customer's outstanding electricity account.

6. VETTING FOR NEW CONNECTIONS

6.1 Each Commercial Manager shall keep an up to date list of black listed customers which bi-monthly shall be sent to the General Manager who will liaise with the Commercial Director at ZETDC Head Office for update.

6.2 The Commercial Director shall on a quarterly basis circulate to all Regions a consolidated list of bad debtors or "black listed" customers. The list shall among other things, reflect the customer's personal details as appearing on the customer database and the amount owing to ZETDC specifying the Region(s) owed and Region reference numbers or account number as applicable.

6.3 A "black listed" customer applying for electricity supply in any Region shall

- (i) Be required to pay a higher security deposit referred to in paragraph 9.1 and in addition, shall be required to provide an acceptable guarantee for payment of his electricity bills; and
- (ii) Not be connected before payment of any amount(s) owing to that or any other Region.

6.4 A person applying for supply of electricity to premises:-

- (i) Which immediately, before then were disconnected for non-payment of electricity supply charges by a customer ("the defaulting customer"); and
- (ii) In respect of which there is an outstanding electricity account:

Shall not be connected until he/she produces proof of his/her right to occupy or use such premises, independent of the defaulting customer, and pays necessary deposit, connection fees etc. The proof referred to herein shall be such as an original or certified copy of Lease Agreement (if the new customer is leasing the premises) or Title Deeds or certified copy thereof or other proof of ownership (if the new

customer is the owner of the premises). Such person shall not be required to pay for the defaulting customer's outstanding electricity account.

7. Inactive Accounts (Status 4 Customers)

These are customers whose accounts remain inactive after being disconnected.

7.1 Voluntary Disconnection

- (i) A customer requesting for disconnection shall be required to settle any outstanding account there and then or to provide details of his forwarding address where to the final bill shall be sent.
- (ii) Credit Control shall ensure that accounts outstanding after voluntary disconnection are expeditiously followed up and settled within 30 days, failing which the same shall be referred to Legal practitioners in the Regions for the necessary recovery action.
- (iii) If at the time of the voluntary disconnection an amount is already overdue, then Accounting Officer (Credit Control) shall demand full payment or institute legal action through collectors if the customers' next of kin's residential address is known.

7.2 Forced Disconnection

The normal procedure of debt collection shall be followed for this type of transaction.

8. PROVISIONS FOR DOUBTFUL DEBTS

A provision for doubtful debts shall be made based on specific accounts expected to go bad and charged to income. As a general rule all debts above 120 days shall be classified as doubtful debts. However, Commercial Managers shall prepare detailed reports and submit to General Managers to justify recommendations for doubtful debts provision. The General Manager in consultation with the Commercial Director shall review all provisions and recommendations and may adjust the provisions depending on the circumstances.

9. BAD DEBTS

9.1 Debtors Ageing

Regions shall produce and submit Debtors Ageing Analysis Reports to the ZETDC Head Office on a monthly basis.

9.2 Referral to Debt Collectors

All debts exceeding 60 days shall be referred to Legal Section for recovery. A monthly report in the format below shall be submitted by each General Manager to Head Office. Commercial Managers shall advise once a debt reaches 90 days and the legal collection process set in motion.

Customer Name	Account No.	Amount Owed	Date Referred

9.3 Write Off Limits

Subject to exhaustion of all possible means to collect all amounts due to ZETDC, Regions are empowered to write off the amounts listed below:

- (i) For balances that are below \$50, the Commercial Manager will cause the write-off with the approval of the General Manager.
- (ii) Balances that are above \$50 but below \$100 where evidence of effort to locate and recover has been made the Commercial Manager shall recommend to the General Manager who will seek approval from Head Office.
- (iii) Balances above \$100 shall be referred to the ZETDC Head Office for consideration and approval.

The above limits will be revised quarterly or otherwise to be relevant to the prevailing environment by the Commercial Director in liaison with the Finance Director.

- 9.4 If amounts previously written off are collected the debt shall be reinstated in the books and payment processed accordingly.

10. ELECTRICITY SECURITY DEPOSIT

The security deposit shall be determined in terms of the Commercial Instructions and is based on average monthly consumption of: -

- (i) **Tariff E.1.1**
 - Low-density suburbs 1500kWh
 - High-density 750kWh
- (ii) **Tariff E.1.2 and E.1.3**
Load Limited consumers Nil (as bills shall be paid in advance)
- (iii) **Tariff E.2**
Street and Public Lighting Nil
- (iv) **Tariff E3.1 to E6.2**
Charge per kVA capacity installed 2 months average consumption or \$10/kVA

Customers other than domestic can lodge a bank or insurance company guarantee or some other acceptable guarantee in the required format in lieu of

security deposit. Interest shall accrue on the security deposits at a rate determined by the Finance Director from time to time but currently at 1% per annum.

10.1 Domestic Customers

Persistent defaulters shall be required to increase their security deposit to equal the most recent 2 months average bills for low density or high density customers as applicable.

10.2 Other Customers

If a customer other than a domestic customer is disconnected for non-payment of an account, the customer will be required to submit fresh letters of guarantee or other acceptable guarantee equivalent to most recent 2 months average consumption or average of previous 12 months' consumption (whichever is greater) for the relevant tariff category.

10.3 Reconnection fee shall be reviewed from time to time in line with actual process costs as directed and advised by ZETDC Head Office from time to time.

11. ENERGY THEFT

All cases of energy theft shall be referred to the Loss Control Section at the Region. These include meter and load limit tampering and illegal connections. Loss Control shall report each and every case to the Police after gathering all evidence for the prosecution of the offender.

Disconnection from the pole shall be effected immediately on discovery of energy theft. Reconnection will only be effected when the Commercial Manager is satisfied that all revenue prejudice is recovered and the due legal process has been followed.

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